Amid the general gloom in the market that year, one man’s stars were rapidly on the rise. Thirty-seven-year-old Ketan Parekh, who hailed from a family of traditional stockbrokers, was an operator of repute, but yet to be counted among the A-listers of Dalal Street. He was quite active on CSE too, where the ITC stock was seen to be his favourite quarry. The previous year, his rivals had spread rumours of his alleged suicide on a Friday – the last day of settlement on BSE – to create panic among his associates so they would sell off their positions in ITC. The rumours seemed plausible, as Ketan was said to be facing difficulties in meeting his payment obligations to the stock exchange. By the time the Ketan camp managed to kill the rumours, the damage was done. It was not a crippling setback, but Ketan had to take a knock on his profits in that settlement cycle.

In May 1998, Ketan bought ACC shares in a big way. The bet backfired badly as FIIs turned bearish in general, following the Pokhran blasts. Instead of selling out his positions in ACC, Ketan bought more of the stock, convinced that his purchases could change sentiment for it. It was a terrible gamble. FIIs sold ACC shares, and Ketan eventually had to sell his position at a loss.

The ACC debacle was a talking point in the market, and most market participants, including I, thought Ketan would be out of action for a while. But what he lost in ACC was more than made up for by the killing he had made in shares of Chennai-based Pentafour Software.